

NORTHBRIDGE CAPITAL MARKETS (CANADA) INC.

Global Markets — Equity Derivatives · OTC Index Options

INDICATIVE TERM SHEET — OTC INDEX OPTION

European Cash-Settled Call Option on the Bloomberg Versa 10 Index · Reference OP-2026-0114 · Dated 8 May 2026

1. Summary of the Transaction

Northbridge Capital Markets (Canada) Inc. ("Party A", the Seller) will sell to Lakeshore Life Insurance Company ("Party B", the Buyer) a European-style, cash-settled call option (the "Transaction") on the Bloomberg Versa 10 Index (Bloomberg: BVERSA10 Index) (the "Index"). The Buyer has issued fixed indexed annuity products under which retail policyholders are credited with participation in the upside performance of the Index; the Buyer accordingly bears exposure to appreciation of the Index and enters into the Transaction to hedge those index-linked crediting obligations, with the option terms (observation, participation and term) designed to match the crediting parameters of the relevant annuity segment. This term sheet summarises indicative terms; the Transaction will be governed by, and the definitive terms set out in, a Confirmation under the ISDA Master Agreement between the parties, incorporating the 2002 ISDA Equity Derivatives Definitions.

2. The Underlying Index

The Index is a rules-based, volatility-targeting index administered by Bloomberg Index Services Limited ("BISL") and calculated in accordance with the Bloomberg Versa Indices Methodology dated 21 March 2025 (the "Index Methodology"), as supplemented by the index-specific document for the Index. The parameters below summarise the index-specific terms relevant to the Transaction; in the event of any inconsistency, the Index Methodology and the index-specific document prevail.

Index / Ticker	Bloomberg Versa 10 Index — BVERSA10 Index
Index Administrator	Bloomberg Index Services Limited, authorised and regulated by the Financial Conduct Authority as a benchmark administrator
Return Treatment	Excess Return (Type I under the Index Methodology): no cash return or financing cost accrues in the volatility control process
Volatility Target	10% per annum
Volatility Calculation	Exponentially weighted moving average (EWMA), short-term and long-term variance; Volatility Value Selection: Highest
Exposure	Determined daily; Maximum Target Exposure 150%; Minimum Target Exposure 0%; Exposure Direction: Long-only
Determination Lag	One Index Business Day
Rebalancing	Each Index Business Day, in accordance with the Index Methodology
Deduction Factor	0.50% per annum, deducted daily from the Index Value
Transaction Cost Rate	0.02% on changes in Underlying Index units, as provided in the Index Methodology
Index Currency	USD

3. Option Terms

Option Style / Type	European / Call
Buyer	Lakeshore Life Insurance Company (Party B)
Seller	Northbridge Capital Markets (Canada) Inc. (Party A)

Notional Amount	USD 25,000,000
Trade Date	8 May 2026
Effective Date	12 May 2026
Initial Index Level	The official closing level of the Index on the Trade Date, as published by the Index Administrator
Strike Level	100% of the Initial Index Level
Participation Rate	100%
Valuation Date	8 May 2028 (point-to-point observation; no averaging)
Expiration Date	8 May 2028
Automatic Exercise	Applicable
Premium	4.15% of the Notional Amount (USD 1,037,500)
Premium Payment Date	12 May 2026
Cash Settlement Payment Date	Three Currency Business Days following the Valuation Date
Settlement Currency	USD

4. Settlement Amount

If the Transaction is exercised (including by Automatic Exercise), the Seller shall pay to the Buyer on the Cash Settlement Payment Date an amount determined by the Calculation Agent as follows:

$$\text{Settlement Amount} = \text{Notional Amount} \times \text{Participation Rate} \times \text{Max} (0, (\text{Final Index Level} - \text{Strike Level}) / \text{Initial Index Level})$$

where the Final Index Level is the official closing level of the Index on the Valuation Date, as published by the Index Administrator. If the Final Index Level is at or below the Strike Level, no amount is payable and the Transaction expires worthless.

5. Other Terms

Calculation Agent: Party A. Index Disruption, Adjustment Events and Index Cancellation or Modification are addressed in accordance with the 2002 ISDA Equity Derivatives Definitions and the Index Methodology, including the BISL Benchmark Procedures Handbook. Currency Business Days: New York. Exchange Business Days: as determined by reference to the Index Methodology. Governing law: Ontario. Documentation: ISDA Master Agreement and Schedule between the parties, Credit Support Annex as applicable, and a Confirmation for the Transaction.

Risk Factors (Summary)

This Transaction involves significant risks and is suitable only for sophisticated counterparties. The Buyer's maximum loss is the Premium paid. The Index employs a volatility-targeting mechanism which may materially reduce exposure to its underlying index in periods of elevated volatility, including in rising markets; the Deduction Factor and Transaction Cost Rate reduce the Index Value on an ongoing basis; and as an Excess Return index the Index does not benefit from any cash or reinvestment return. Each of these features may materially reduce the probability and magnitude of a positive Settlement Amount relative to an option on an unadjusted market index. Past performance, including back-tested performance, of the Index is not a reliable indicator of future performance. The parties are exposed to each other's credit risk to the extent not collateralised.

This document is an indicative term sheet and does not constitute an offer, solicitation or recommendation, nor a commitment to enter into the Transaction. In the event of any inconsistency between this term sheet and the executed Confirmation, the Confirmation prevails. "Bloomberg®" and the Bloomberg Versa Indices are trademarks or service marks of Bloomberg Finance L.P. BISL does not sponsor, endorse or guarantee the Transaction. Northbridge Capital Markets (Canada) Inc. and Lakeshore Life Insurance Company are fictitious entities; this is a synthetic specimen document prepared for systems demonstration purposes.